

1-A:

An economic problem generally means the problem of making choices that occurs because of the scarcity of resources. It arises because people have unlimited desires but the means to satisfy that desire is limited. Therefore, satisfying all human needs is difficult with limited means.

2-C:

Opportunity cost is money or benefits lost by not selecting a particular option during the decision-making process.

The diagram 3 shows that you have to attain less of X, to attain more of Y.

That is moving along the PPC

Why not other options?

A- this shows changes from actual to potential

B- this shows that there is change in potential

D- this is outside the PPC and can be only attained when an economy imports

3-D:

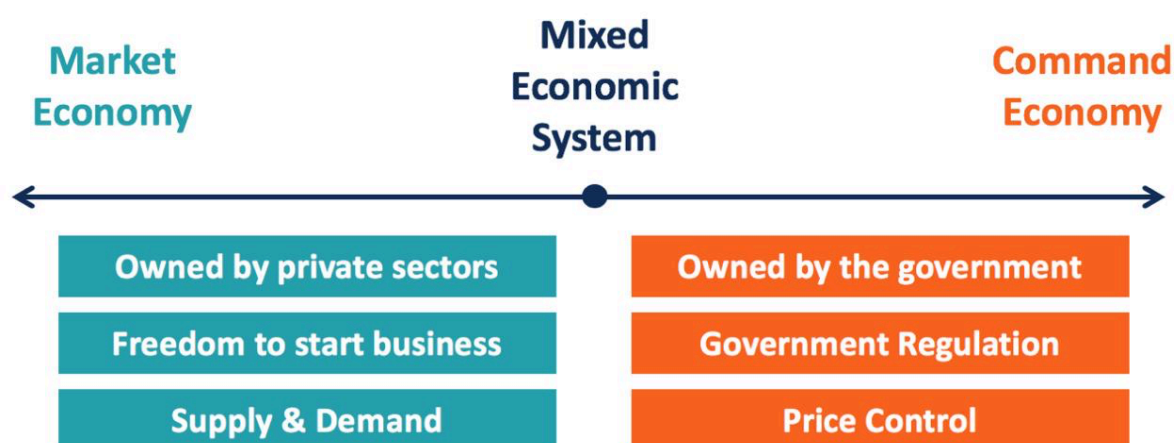
The word US government is used here to indicate that there is involvement of a public sector. Also, helium as a gas used in other ways such as party balloons that is factor of production

4-B:

Public goods are characterized by two key features: non-excludability and non-rivalry.

Non-excludability means it's impossible or very costly to prevent individuals from consuming the good, even if they don't pay for it. Non-rivalry implies that one person's consumption of the good does not diminish the amount available for others.

5-D:



In a mixed economy, the private sector also fails to provide efficient allocation of resources and free rider problems. So the government has to intervene in this system.

Why not other options?

- A- not necessarily
- B- government also consider the externalities
- C- but monopoly still exist

6-B:

The formal microeconomics definition is the branch of economics that studies the behavior of individuals and businesses and how decisions are made based on the allocation of limited resources.

Option B specify that there is change in individual price of gas company

Why not other options?

Other options are the macroeconomic decision

7-A:

From the given diagram, we can see that there is a rightward shift in supply.

A decrease in the airline cost will increase the supply of New Zealand airlines.

Why not other options?

B- this will decrease the demand for New Zealand airlines

C- this will increase the demand for New Zealand airlines as other substitutes prices has increased

D- this will reduce the supply of New Zealand as the cost of production will rise due to the indirect tax

8-C:

PED is calculated as the percentage change in quantity demanded divided by the percentage change in price.

We can clearly see in the diagram that there is a steeper graph shown that is relatively inelastic.

% change in quantity demand

$$30-27/27=10\%$$

% change in price

$$1-1.5/1=-0.5\%$$

$$10\%/50\%=0.2 \text{ that is less than } 1$$

9-B:

Labour Productivity= total output/ no of workers

$$640/40=16$$

Why not other options?

$$A- 40/10=-4$$

$$C- 750/50=15$$

$$D- 500/100=5$$

10-A:

Labour intensive production will allow the job production and product specification.

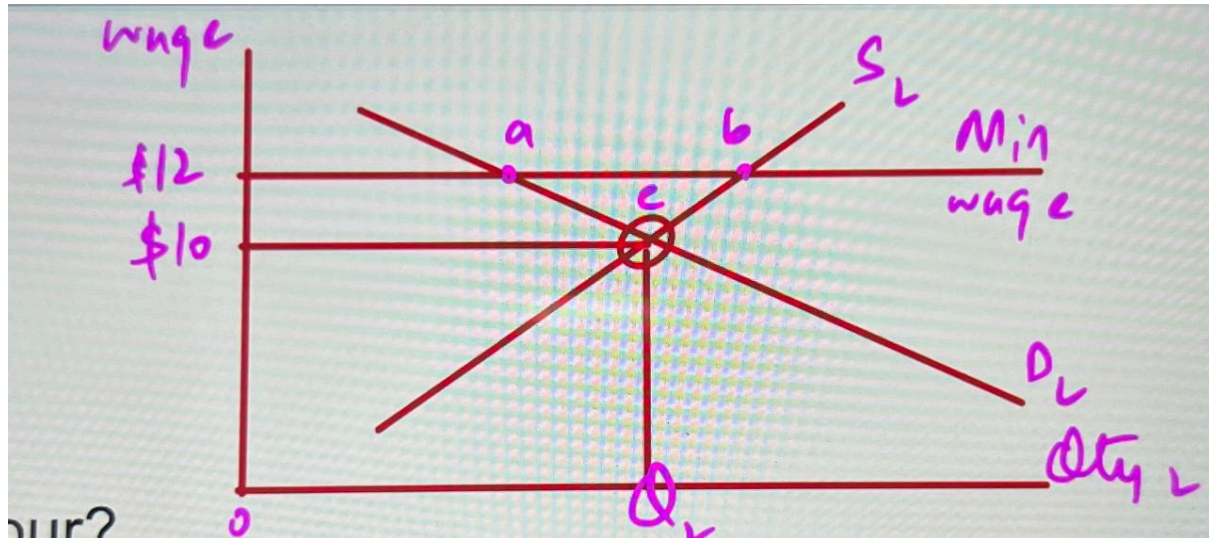
Capital intensive reduce the AC of production of producing each unit of output.

Why not other options?

- B- keeps unemployment low
- C- machinery can be break down
- D- general statement

11-B:

Effective minimum wage imposed above the equilibrium wage rate as shown



Why not other options?

- A- if it is then equilibrium wage rate should be given
- C- low wage would be given
- D- nothing to link to the wage

12-D:

Average revenue is the per unit revenue, that is selling price

$$AR = \frac{TR}{Q} = \frac{P \times Q}{Q} = P$$

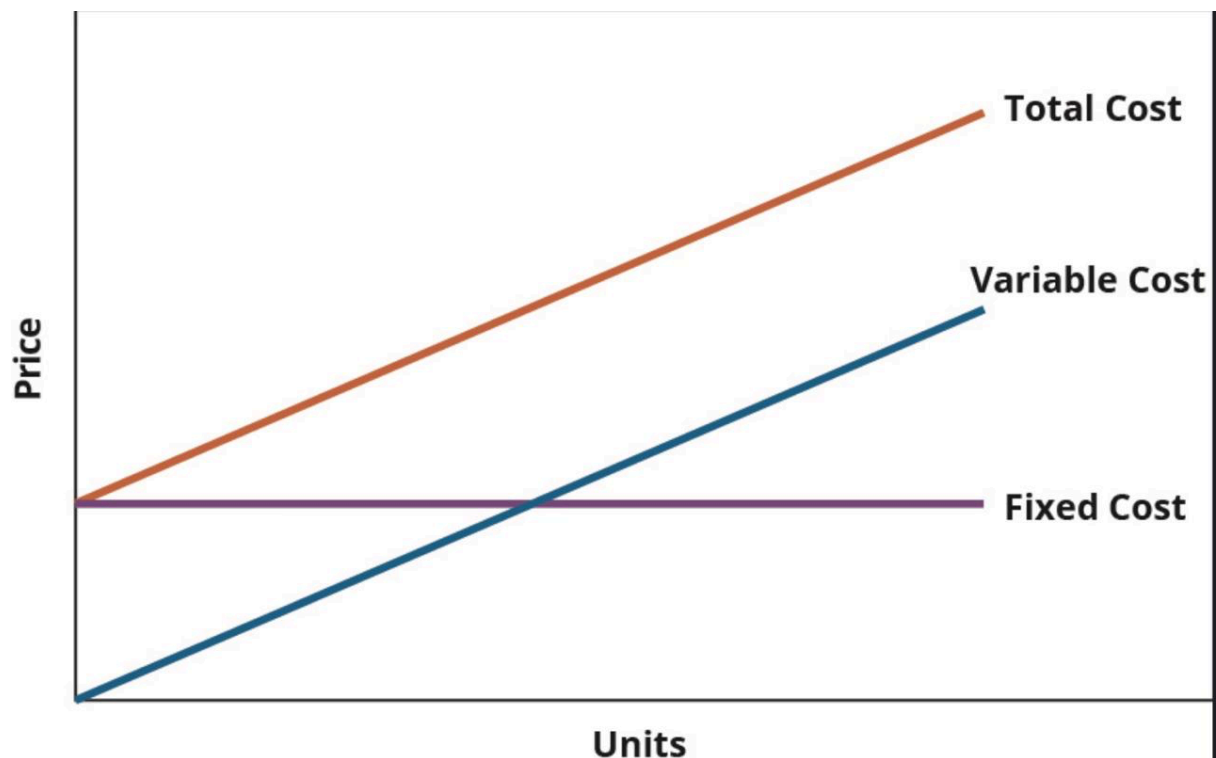
The selling price after adding the profit is 4000

How? The cost of making bicycles is \$3000

and the profit is \$1000

$$= \$4000$$

13-B:



W—total cost
 X—total fixed cost
 Y—total variable cost

14-B:

Diseconomies of scale occur when a business grows so large that the costs per unit increase.

In option B, at output 1000, the ATC per unit cost is 8 as $8000/1000$

At output 2000, ATC per unit cost is 7 as $14000/2000$

At output 3000, ATC per unit is 9 as $27000/3000$

We can see that ATC per unit falls and then rises that indicates there is diseconomies of scale occurring.

Why not other options?

- A- AC keeps falling
- C- AC keeps falling
- D- AC is constant

15-C:

Forward vertical integration involves acquiring a business further up (forward) in the supply chain – e.g. a vehicle manufacturer buys a car retail business. Another example might be Amazon or Netflix deciding to buy a chain of movie theatres (cinemas).

Why not other options?

- A- merging with raw materials ones
- B- diversification
- D- same stage

16-D:

Recession is a significant decline in economic activity spread across the market, lasting more than a few months, normally visible in real GDP, real income, employment, industrial production, and wholesale-retail sales.

17-B:

A fall in unemployment will increase in income. Higher income will increase consumption. More consumption will lead to increased demand for goods and services. As a consequence, inflation will begin.

Why not other options?

A- no link

C-a fall in unemployment will result in shortage of labours and thus increase in wages

D- wages will rise

18-D:

Economic growth refers to an increase in the size of a country's economy over a period of time. The size of an economy is typically measured by the total production of goods and services in the economy, which is called gross domestic product (GDP).

Removing the immigration controls will allow more people to come into the economy. More labourers will increase the potential of an economy thus increasing the productive capacity. This will shift the PPC outwards.

Why not other options?

A- more stricks leads lower output being produced

B- this will reduce the supply of labour

C- this will also reduce the supply of labour

19-C:

An indirect tax is a tax passed off by the government on goods and services. It is collected by the manufacturers or sellers of goods and services from the consumer when they purchase an item or service and then paid to the government.

Air passenger duty \$10m

Import duty \$75m

Sales tax VAT \$300m

Total= \$385m

Why not other options?

Other taxes mentioned in the table are the direct taxes

20-B:

Supply-side economics holds that increasing the supply of goods translates to economic growth for a country.

In supply-side fiscal policy, tax cuts, lower interest rates, and deregulation help foster increased production.

Why not other options?

Other options are the aim of demand side policies

21-C:

The inflation rate is calculated using the Consumer Price Index (CPI), which measures the average price changes of a basket of consumer goods and services over time. A high rate of inflation will increase the cost of living as living become an expensive

Why not other options?

- A- consumer spending will reduce in an economy
- B- living standard will reduce
- C- purchasing power will also reduce

22 Removed from the CIEs Qs

23-A:

Decrease in tax will increase disposable income. This will result in an increase in consumption and thus an increase in AD. Additionally, fall in rate of interest will reduce the savings and increase the investment and thus an increase in AD

Why not other options?

- B- decrease in taxes will increase the AD but rise in interest rates will reduce the AD. How? Savings will increase and investment will fall
- C- increase in tax will reduce the AD and fall in interest rate will increase the AD
- D- both will reduce the AD

24-A:

Higher economic growth will increase output and income. Higher income will redistribute the income and thus reduce poverty.

Why not other options?

- B- low spending on education will worsens poor conditions
- C- regressive tax will impact more poorer
- D- privatisation will result in higher price and this will worse the poor conditions

25-B:

Falling population could only occur when there are low birth rates and high death rates. If access to a healthy diet is falling that means death rates are rising. Moreover, the cost of bringing up the child is also rising that means that population is not increasing.

26-D:

Average annual growth rate of population and population density should be high that is option A. While the life expectancy years and real GDP per head should be low that is also in option A

27-C:

Since you specialise in one industry or particular product. Other products have to be imported and we will be dependent on other countries.

Why not other options?

- A- advantage
- B- advantage
- D- advantage as export TR will rise

28-D:

A country's trade balance is the difference between the value of its exports and the value of its imports. A trade surplus occurs when a country exports more than it imports, while a trade deficit occurs when a country imports more than it exports.

In year 1, there is surplus in BOT.

In year 2, there is deficit in BOT

29-A:

Trade protectionism refers to government policies and actions taken to restrict or limit international trade in order to protect domestic industries from foreign competition.

Protectionism will protect our industries and restricts import expenditure and thus reduce the current account deficits

Why not other options?

- B- it will increase the surplus on the current account
- C- import expenditure will fall, domestic consumption will increase and AD will fall
- D- AD will rise

30-D:

When a currency falls in values compared to other currencies known as depreciation. This will make exported goods more competitive as their prices would fall and imported goods relatively expensive as their price would increase to the home country.

Why not other options?

- A-** a fall in money supply will result in a higher rate of interest rate. This will cause exchange rate to appreciate
- B- import prices will increase so purchasing power will fall
- C- expensive imports